



Gavin Newsom, Governor
State of California
Health and Human Services Agency
DEPARTMENT OF MANAGED HEALTH CARE
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March 3, 2026

VIA ELECTRONIC MAIL

Jessica Castillo
Health Net of California, Inc.
21281 Burbank Blvd.
Woodland Hills, CA 91367

Re: Proposed Contract Termination with Adventist Health Tehachapi Valley
Block Transfer Filing No. 2026-HOSP-250
Filed on February 26, 2026

Dear Ms. Jessica Castillo,

The Department of Managed Health Care (Department) is reviewing the information in the above-referenced Block Transfer Filing (Filing) submitted by **Health Net of California, Inc.** (Plan) for compliance with the requirements of the Knox-Keene Health Care Service Plan Act of 1975, as amended (Cal. Health & Safety Code § 1340 *et seq.*) and the regulations promulgated thereunder (Cal. Code Regs., Tit. 28, § 1000 *et seq.*).

In the event of contract termination, the Filing proposes to remove **Adventist Health Tehachapi Valley** (Terminating Hospital) from the Plan's hospital network. The effective date of contract termination between the Terminating Hospital and the Plan (Termination Date) is currently **April 15, 2026**.

Please review the following comments and feel free to contact me if you would like to discuss any of the issues before filing the Plan's response.

1. Regarding the Enrollee Transfer Notice submitted for this Filing, the following information was found missing. Please resubmit the Enrollee Transfer Notice for the Department's review to include the following:
 - a. The enrollee notice that was submitted was for Adventist Health Simi Valley. Please submit the enrollee transfer notice for Adventist Health Tehachapi Valley.
2. Please confirm the Plan will utilize the most recently approved eFiling Enrollee Transfer Notice Templates for this Block Transfer Filing.

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3. Please confirm that the Plan is aware that it cannot transition its enrollees or send Enrollee Transfer Notices without the Department's approval.
4. The Plan indicated on the Block Transfer Filing Form that the hospital termination is part of the Adventist Health System West termination. Please confirm if the contract is a stand-alone contract.
5. The Plan indicates that the DCN will use Alternate Hospital, BAKERSFIELD MEMORIAL HOSPITAL, listed within the filing. The Plan indicates that zero PCPs and zero Specialists have admitting privileges to the proposed Alternate Hospital. In the Enrollee Access section of the filing, the Plan explained that enrollees will be admitted via regular admitting pattern. Please confirm the following for the Plan's enrollees:
 - a. The name of the hospitalist group(s),
 - b. The number of associated hospitalists, and
 - c. If the hospitalists can admit enrollees for any medically necessary services.
6. The Plan indicated that the DCN will use only one out of the three Alternate Hospitals within this filing. Please confirm whether the DCN or another medical group, that was not listed, utilizes either of the other two Alternate Hospitals. If so, please identify those facilities and describe their role in providing covered services.
7. The Plan's PPO line of business is licensed by the Department. Please confirm the following:
 - a. The Plan will send an Enrollee Transfer Notice approved by the Department to all PPO enrollees with a 15 mile radius of the Terminating Hospital.
8. The Department notes that the Plan has chosen Directly Contracted Network (DCN) as a group that admits to the Terminating Hospital, for the Enrollee Access section of the Block Transfer Filing Form. The Department also notes that the Plan has stated there are no impacted medical groups. Please state whether DCN is impacted by the pending termination or if DCN was selected because a provider group must be chosen for Enrollee Access section of the Block Transfer Filing Form.
9. For each Alternate Hospital, please summarize or confirm the following:
 - a. The Plan contacted the hospital regarding the Block Transfer,
 - b. Any concerns expressed by the hospital regarding its ability to accommodate the hospital-based needs of enrollees redirected by the Block Transfer,

- c. Whether the Plan has sent or received a notice of contract termination from the Alternate Hospital, and if so, whether that contract is set to terminate within the next six months.
10. Please confirm whether the HMO providers that routinely utilize the Terminating Hospital have adequate admitting privileges for PCPs and specialists to at least one of the identified Alternate Hospitals containing all services that will be lost should the contract ultimately terminate.
11. In addition to the in-patient services comparison on the Block Transfer portal, please indicate any of the following services that are available at the Terminating Hospital, but not available at the Alternate Hospitals:
 - a. Any out-patient or in-patient services,

If any services are not available at the Alternate Hospitals, please explain where affected enrollees will receive these services following contract termination.
12. Please confirm if there are enrollees who have a residence or workplace within 15 miles or 30 minutes of a contracted hospital prior to termination, but will now have a residence or workplace beyond 15 miles or 30 minutes of a contracted hospital post-termination?
13. Please confirm the medical groups that do not utilize the Terminating Hospital as a primary hospital, but have admitted enrollees for the most recently completed calendar year, are able to refer their enrollees to other hospitals within the Plan's network for services comparable to those provided by the Terminating Hospital.
14. Please identify the number of enrollees who have a procedure scheduled and authorized by the Plan at the Terminating Hospital post-termination.
15. Please confirm that the Plan will provide notice of the contract termination to the following:
 - a. All contracted providers and provider groups that may be affected by the contract termination, including, but not limited to, primary utilizers of the Terminating Hospital (specify the providers),

Please submit the Plan's response by **Friday, March 6, 2026**, via the Block Transfer portal as a "Response to Comment Letter."

Please contact me if there are any questions regarding the above.

Sincerely,

Elizabeth Doyle

Elizabeth Doyle
Analyst II
Office of Plan Monitoring